

ELLIOTT WAVE & MACD DIVERGENCES

Complete Professional Trading Course

Master Wave Theory, Divergence Trading & High-Probability Setups

■■■ COURSE MODULES ■■■

- Module 1 — Elliott Wave Theory Foundations
- Module 2 — Advanced Wave Structures
- Module 3 — MACD Indicator Deep Dive
- Module 4 — Divergence Trading Strategies
- Module 5 — Integrating Waves with MACD
- Module 6 — Entry, Exit & Risk Management
- Module 7 — Multi-Timeframe Analysis
- Module 8 — Live Trade Examples & Checklists

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Module 1 — Elliott Wave Theory Foundations

1.1 History & R.N. Elliott's Discovery

Ralph Nelson Elliott (1871–1948) was an American accountant who, while recovering from illness, devoted years to studying stock market data. In 1938 he published *The Wave Principle*, proposing that financial markets move in predictable, repetitive patterns driven by collective investor psychology.

Elliott observed that market price action alternates between **impulsive** (trend-following) and **corrective** (counter-trend) phases. These patterns nest fractally — the same patterns appear on minute, hourly, daily, and yearly charts.

- **1938** — *The Wave Principle* published
- **1939** — Series of 12 articles in *Financial World* magazine
- **1946** — Final work: *Nature's Law — The Secret of the Universe*
- Robert Prechter revived and popularized Elliott Wave in the 1970s–1980s

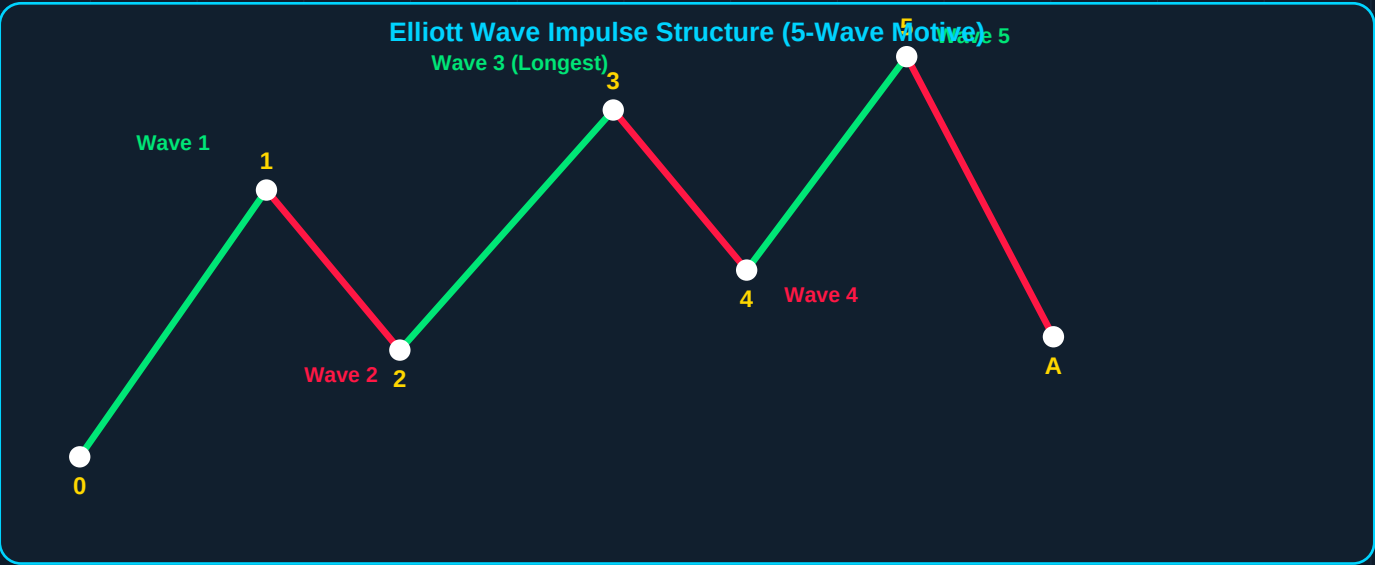
1.2 The Principle of Waves

The core idea is that market prices move in **waves** — directional movements that can be identified, classified, and used to forecast future price behavior. Three fundamental concepts underpin the theory:

Concept	Meaning
Pattern	Price traces identifiable wave shapes (5-wave impulse, 3-wave correction)
Ratio	Fibonacci ratios describe wave relationships in time and price
Time	Waves may take equal or Fibonacci-related periods to complete

1.3 Motive Waves — The 5-Wave Impulse

An **impulse wave** has 5 sub-waves labeled 1-2-3-4-5, where waves 1, 3, and 5 move in the direction of the larger trend, while waves 2 and 4 are counter-trend corrections.



The Three Unbreakable Rules of Impulse Waves

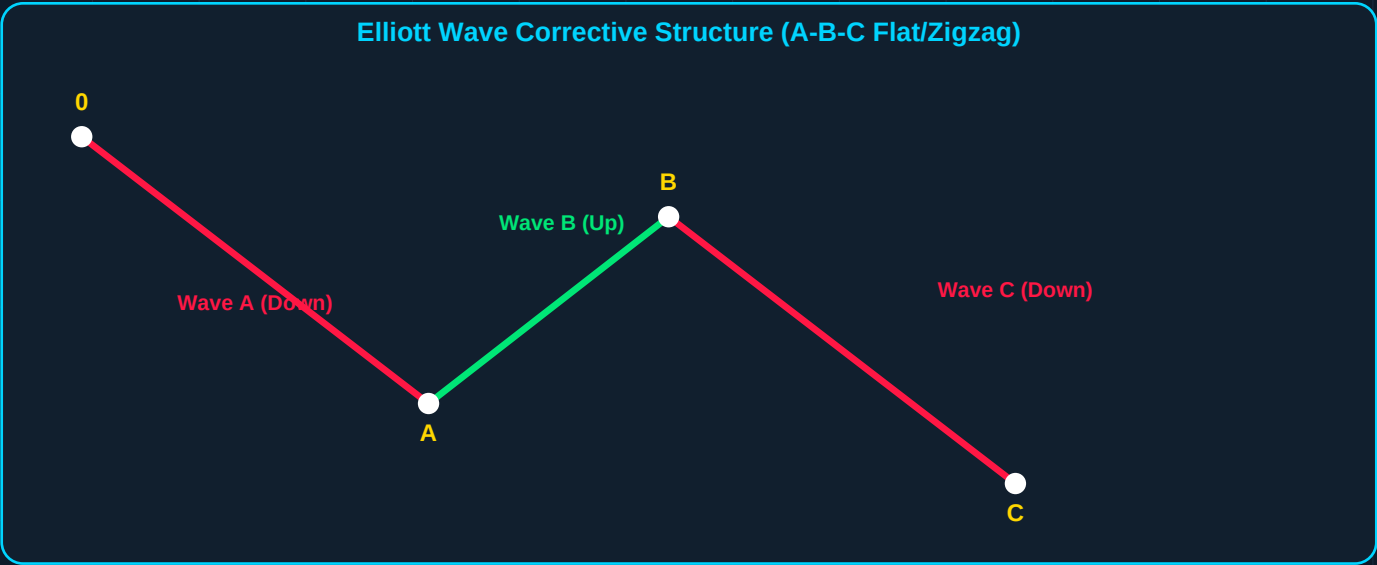
- **Rule 1:** Wave 2 cannot retrace more than 100% of Wave 1. If it does, the count is invalid.
- **Rule 2:** Wave 3 is never the shortest among waves 1, 3, and 5.
- **Rule 3:** Wave 4 cannot overlap into the price territory of Wave 1 (in non-leveraged markets).

Guidelines (Not Rules)

- Wave 3 is most often the longest and strongest wave
- Wave 2 typically retraces 50%–61.8% of Wave 1
- Wave 4 typically retraces 38.2%–50% of Wave 3
- Wave 5 often equals Wave 1 in length, or 61.8% of Waves 1+3

1.4 Corrective Waves — A-B-C Patterns

After every 5-wave impulse, a 3-wave correction follows. The most common corrective structures are:



Pattern	Structure	Description
Zigzag	5-3-5	Sharp correction; Wave B shallow, Wave C equals or exceeds Wave A
Flat	3-3-5	Sideways correction; Wave B retraces ~100% of Wave A
Triangle	3-3-3-3-3	5 sub-waves contracting; usually precedes final wave
Double/Triple Three	3-3 or 3-3-3	Two or three corrective patterns linked by X waves

1.5 Wave Degree & Labeling

Elliott named nine degrees of waves, from the Grand Supercycle (spanning centuries) down to the Subminuette (minutes). Traders use standard notation:

Degree	Motive Labels	Corrective Labels
Grand Supercycle	[I] [II] [III] [IV] [V]	[A] [B] [C]
Supercycle	(I) (II) (III) (IV) (V)	(A) (B) (C)

Cycle	I II III IV V	A B C
Primary	[1] [2] [3] [4] [5]	[a] [b] [c]
Intermediate	(1) (2) (3) (4) (5)	(a) (b) (c)
Minor	1 2 3 4 5	a b c
Minute	i ii iii iv v	a b c (lower)

✓ Chapter Summary

- Elliott Wave alternates between 5-wave impulses (motive) and 3-wave corrections
- Three unbreakable rules govern valid impulse wave counts
- Wave 3 is never the shortest; Wave 2 never retraces 100%+ of Wave 1
- Corrections take Zigzag, Flat, or Triangle forms
- Wave degree allows nesting the same patterns across all timeframes

Module 2 — Advanced Wave Structures

2.1 Wave Extensions

An **extension** occurs when one of the three motive waves (1, 3, or 5) elongates significantly beyond its counterparts. Extensions are common and change the overall wave count.

- **Most common:** Wave 3 extension — produces the most powerful and momentum-driven move
- **Wave 5 extension:** Less common; often seen in commodity markets and crypto
- **Wave 1 extension:** Rare; usually occurs at the start of new major trends
- Extended waves subdivide into 9 waves of the same degree instead of 5
- Rule: only **one** wave among 1, 3, or 5 extends in any given impulse

2.2 Diagonal Triangles

Diagonals are impulse waves that have a wedge shape. All sub-waves overlap and move in the direction of the larger trend.

Type	Position	Internal Structure	Key Feature
Leading Diagonal	Wave 1 or Wave A	5-3-5-3-5	Starts a new trend; sub-waves overlap
Ending Diagonal	Wave 5 or Wave C	3-3-3-3-3	Exhaustion signal; strong reversal follows

Trading tip: An ending diagonal in Wave 5 combined with **bearish MACD divergence** is one of the highest-probability reversal setups in technical analysis.

2.3 Complex Corrections

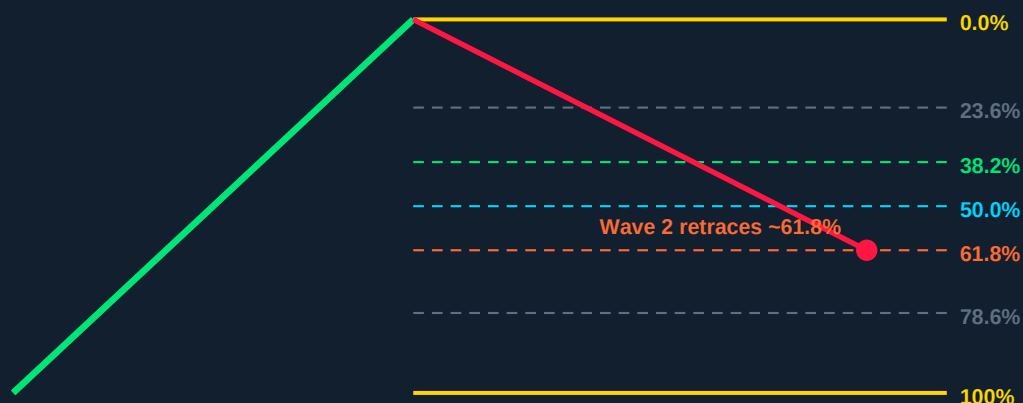
When markets consolidate for an extended period, simple A-B-C corrections combine into **double** or **triple** three patterns, connected by linking waves called **X waves**.

Pattern	Structure	Typical Duration
Double Three	W-X-Y	Medium consolidation phase
Triple Three	W-X-Y-X-Z	Extended sideways period
Running Flat	3-3-5 (B > A)	Bullish continuation correction
Expanded Flat	3-3-5 (B > A, C > A)	Common before explosive Wave 3

2.4 Fibonacci Relationships in Waves

Fibonacci ratios are the mathematical backbone of Elliott Wave theory. Markets naturally gravitate toward these levels because they reflect collective psychological decision points.

Fibonacci Retracement Levels in Elliott Waves



Key Fibonacci Ratios by Wave

Wave	Retracement/Projection	Most Common Fibonacci Level
Wave 2	Retraces Wave 1	50% or 61.8%
Wave 3	Projects from end of Wave 2	161.8% of Wave 1
Wave 4	Retraces Wave 3	38.2%
Wave 5	Projects from Wave 4 end	Equal to Wave 1, or 61.8% of Waves 1–3
Wave A	Retraces impulse	23.6%–38.2% of full 5-wave move
Wave B	Retraces Wave A	50%–78.6% of Wave A
Wave C	Projects from Wave B end	100% or 161.8% of Wave A

Fibonacci Clusters — High-Value Zones

A **Fibonacci cluster** occurs when multiple Fibonacci projections/retracements from different waves converge on the same price zone. These are the strongest support/resistance areas and the best places to anticipate reversals, especially when confirmed by MACD divergence.

- Identify Wave 1 end, Wave 2 end, and Wave 3 end
- Project 100%, 138.2%, 161.8% of Wave 1 from Wave 2 end
- Project 61.8%, 100% of Wave 3 from Wave 4 end
- Where multiple projections overlap → high-probability reversal zone

✓ Chapter Summary

- Extensions elongate one motive wave — wave 3 extensions are the most powerful
- Ending diagonals signal exhaustion — best combined with MACD divergence
- Complex corrections (WXY) require patience; often form before explosive moves
- Fibonacci clusters are the strongest reversal zones in wave analysis
- Wave 2 retraces 50–61.8%; Wave 4 retraces 38.2%; Wave 3 targets 161.8%

Module 3 — MACD Indicator Deep Dive

3.1 MACD Construction & Settings

The **Moving Average Convergence Divergence** (MACD) was developed by Gerald Appel in the late 1970s. It measures momentum by comparing two exponential moving averages.

Component	Calculation	Default Setting
MACD Line	EMA(Fast Period) – EMA(Slow Period)	EMA(12) – EMA(26)
Signal Line	EMA of MACD Line	EMA(9) of MACD Line
Histogram	MACD Line – Signal Line	Bar chart of difference

Alternative MACD Settings

While 12-26-9 is the default, different markets and timeframes benefit from adjusted settings:

Market / Timeframe	Settings	Rationale
Crypto (fast markets)	8-17-9	Faster signals; less lag
Forex (scalping, M5-M15)	5-13-5	Very responsive
Stocks (swing trading)	12-26-9	Standard balanced setting
Futures (position trading)	24-52-18	Slower, filters noise

3.2 Signal Line & Histogram Dynamics

The **histogram** is the most important component for divergence analysis. It represents the **acceleration** of momentum — not momentum itself.

- **Rising histogram** → momentum is accelerating in the direction of the MACD line
- **Falling histogram** → momentum is decelerating (early warning of slowdown)
- When histogram crosses zero from below → **bullish momentum confirmed**
- When histogram crosses zero from above → **bearish momentum confirmed**
- **Peak/trough in histogram** is more important than the zero crossover for divergence

3.3 MACD Zero-Line Crossovers

The MACD line itself crossing the zero level indicates a change in the **medium-term trend**:

Signal	Interpretation	Wave Context
MACD Line crosses above 0	Bullish trend begins/resumes	Often at start of Wave 3 up
MACD Line crosses below 0	Bearish trend begins/resumes	Often at Wave A break down
Signal line cross above MACD	Short-term buy signal	Wave 3 or Wave C bottom confirmation
Signal line cross below MACD	Short-term sell signal	Wave 5 or Wave B exhaustion

3.4 Momentum Reading with MACD

Understanding MACD as a **momentum gauge** is critical for wave analysis:

- **Wave 1:** MACD turns up from oversold; histogram turns from negative to positive
- **Wave 2:** MACD pulls back but stays mostly above zero; histogram dips slightly negative
- **Wave 3:** MACD surges to new highs; histogram reaches maximum peak — **strongest bars**
- **Wave 4:** MACD corrects but holds above zero; histogram shrinks significantly
- **Wave 5:** MACD rises but **does NOT** reach the Wave 3 peak — **classic bearish divergence**
- **Wave A/B/C:** MACD oscillates; Wave C bottom often shows **bullish divergence**

✓ Chapter Summary

- $\text{MACD} = \text{EMA}(12) - \text{EMA}(26)$; $\text{Signal} = \text{EMA}(9)$; $\text{Histogram} = \text{MACD} - \text{Signal}$
- The histogram measures momentum acceleration — key for divergence spotting
- Adjust MACD settings to market speed: faster settings for crypto/scalping
- MACD zero-line crossovers align with Elliott Wave transitions (Wave 1→2, 3→4, A→B)
- Wave 3 produces the strongest MACD histogram peak — look for divergence on Wave 5

Module 4 — Divergence Trading Strategies

4.1 What is Divergence?

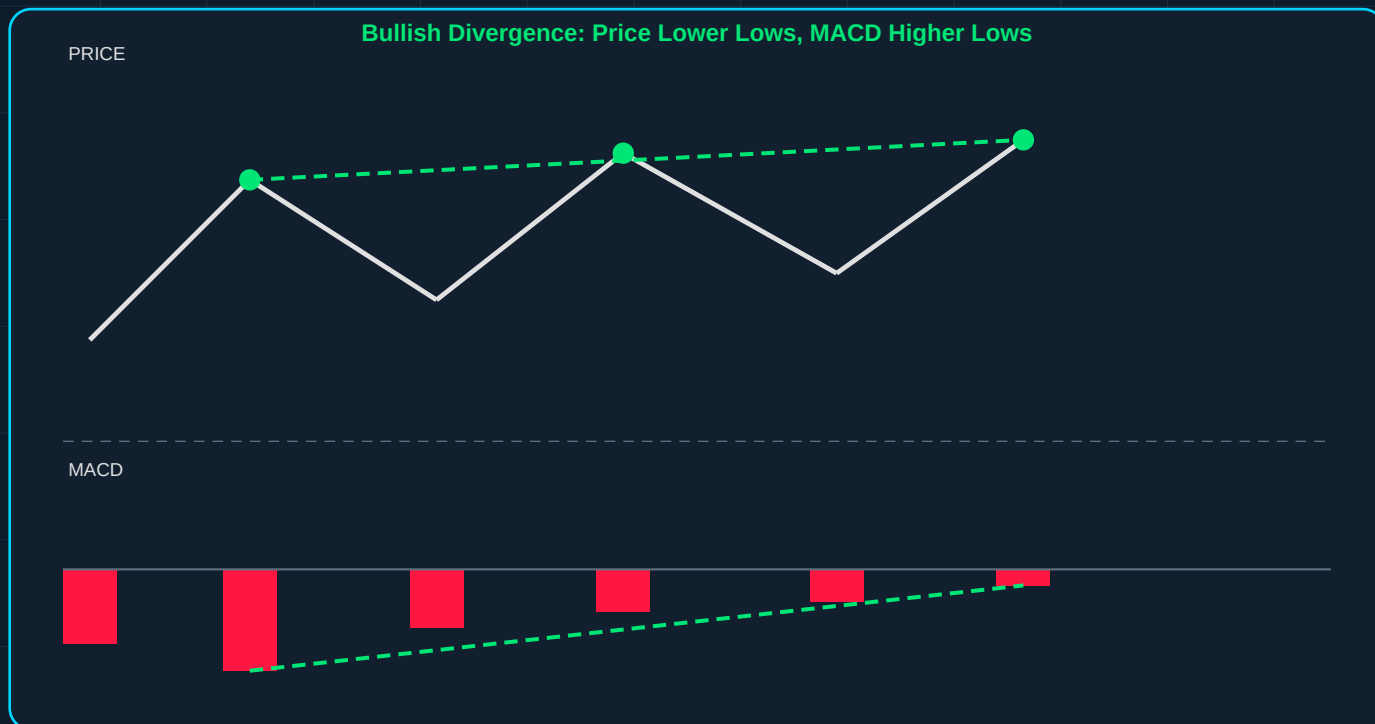
A **divergence** occurs when the **direction of price** and the **direction of the MACD indicator** disagree. This disagreement signals that the current trend is **losing momentum** and a reversal or major correction is likely.

Divergences are not timing tools on their own — they show **momentum weakness**. Confirmation is always required via price action, candlestick patterns, or wave structure completion.

Type	Price Action	MACD Action	Signal
Regular Bullish	Lower Lows	Higher Lows	Bullish reversal
Regular Bearish	Higher Highs	Lower Highs	Bearish reversal
Hidden Bullish	Higher Lows	Lower Lows	Bullish continuation
Hidden Bearish	Lower Highs	Higher Highs	Bearish continuation

4.2 Regular Bullish Divergence

Regular bullish divergence forms when price makes a **lower low** while MACD makes a **higher low**. This indicates that even though price fell to a new low, the selling momentum is weakening.



How to Trade Regular Bullish Divergence

- **Step 1:** Identify two price lows — the second lower than the first
- **Step 2:** Confirm MACD histogram made a **higher low** on the second price low
- **Step 3:** Draw trendlines on both sets of lows — they should slope in opposite directions
- **Step 4:** Wait for a bullish trigger: breakout candle, hammer/engulfing, MACD cross above signal
- **Step 5:** Enter long; place stop below the lower low; target previous swing high

4.3 Regular Bearish Divergence

Regular bearish divergence forms when price makes a **higher high** while MACD makes a **lower high**. This shows that despite new price highs, upside momentum is fading.



How to Trade Regular Bearish Divergence

- **Step 1:** Identify two price peaks — the second higher than the first
- **Step 2:** Confirm MACD histogram shows a **lower high** at the second peak
- **Step 3:** Draw connecting trendlines — price sloping up, MACD sloping down
- **Step 4:** Wait for a bearish trigger: shooting star, bearish engulfing, MACD cross below signal
- **Step 5:** Enter short; place stop above the higher high; target previous swing low

4.4 Hidden Divergence

Hidden divergence is the **opposite** of regular divergence — it signals **trend continuation**, not reversal. It forms during corrections within a trend.

Type	Price Action	MACD Action	Meaning
Hidden Bullish	Higher Low (pullback)	Lower Low on MACD	Uptrend resuming after pullback
Hidden Bearish	Lower High (bounce)	Higher High on MACD	Downtrend resuming after bounce

Hidden bullish divergence is particularly powerful when it aligns with Elliott Wave corrections (Wave 2 or Wave 4 pullbacks). It confirms the corrective wave is complete and the trend will resume.

- **In an uptrend:** Price makes higher low (Wave 2 or 4) → MACD makes lower low → **buy the pullback**
- **In a downtrend:** Price makes lower high (Wave B) → MACD makes higher high → **sell the bounce**

4.5 Divergence Strength & Reliability

Not all divergences are equal. Several factors affect the probability and strength of a divergence signal:

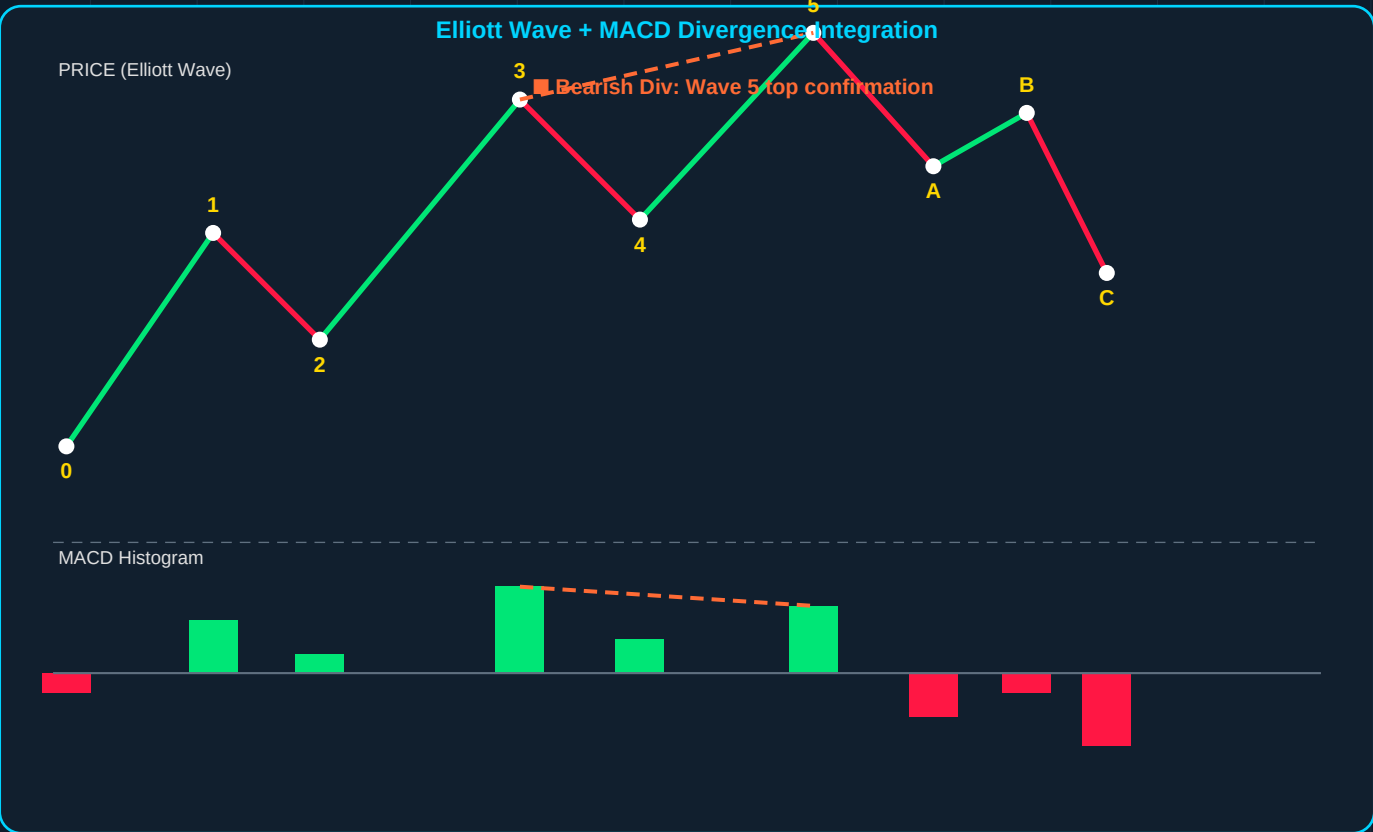
Factor	Higher Reliability	Lower Reliability
Timeframe	Daily, Weekly charts	1-minute, 5-minute charts
Pivot spacing	Pivots far apart (5+ bars each)	Pivots adjacent (1-2 bars)
Trend alignment	Against minor trend, with major	Against major trend
MACD component	Histogram divergence	MACD line divergence only
Confirmation	Candlestick pattern present	No confirmation signal
Wave context	At wave completion zones	Mid-wave occurrence

✓ Chapter Summary

- Regular divergence = trend reversal signal; hidden divergence = continuation signal
- Always draw trendlines on BOTH price pivots and MACD pivots to visualize divergence
- Confirm with price action: candlestick patterns, breakouts, or MACD line crossovers
- Higher timeframes produce more reliable divergence signals
- Hidden bullish divergence during Wave 2/4 is a high-probability continuation entry

Module 5 — Integrating Elliott Waves with MACD

Combining Elliott Wave counting with MACD divergence analysis creates a powerful synergy: waves tell you **where** price is in the cycle, while MACD divergence tells you **when** momentum is shifting. Together they produce high-probability, well-timed trade entries.



5.1 Confirming Wave 3 with MACD

Wave 3 is the most powerful wave in an Elliott sequence. The MACD provides two key confirmations:

- **MACD histogram peak:** The highest histogram bar should occur during Wave 3 — confirms maximum momentum
- **MACD zero-line crossover:** MACD crossing above zero during Wave 3 confirms new bullish trend
- **Signal line breakout:** MACD line crossing above signal line as Wave 3 begins — entry trigger
- **No divergence on Wave 3:** If MACD **shows divergence during Wave 3**, the count is likely wrong

Key Rule: In a valid Wave 3, the MACD histogram should reach its **highest point** in the entire impulse. If the MACD during the supposed Wave 3 is lower than during Wave 1, re-examine your wave count.

5.2 Spotting Wave 5 Failure via Bearish Divergence

The most classic and high-probability setup in this course is the **Wave 5 bearish divergence** reversal:

StepAction</th><th data-kind="ghost">What to Look For</th></tr><tr><td>1</td><td>Complete Wave 3</td><td>Strongest MACD histogram peak; highest price in impulse</td></tr><tr><td>2</td><td>Count Wave 4</td><td>MACD corrects; histogram shrinks; price holds above Wave 1 top</td></tr></table>
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3	Identify Wave 5 candidate	Price pushes above Wave 3; new price high forming
4	Check MACD histogram	Histogram peak is LOWER than Wave 3 peak → bearish divergence
5	Wait for reversal trigger	Ending diagonal? Shooting star? MACD cross below signal?
6	Enter short after Wave 5 top	Stop above Wave 5 high; target Wave 4 low initially

Why it works: Wave 5 completes the 5-wave impulse. Once Wave 5 ends, a full A-B-C correction must follow. Bearish MACD divergence at the Wave 5 top provides both a timing signal (when the wave is complete) and directional confirmation (momentum exhaustion).

5.3 Wave C Bottom via Bullish Divergence

After a 5-wave impulse, price corrects in A-B-C. The end of Wave C is where the next major impulse begins — and **bullish MACD divergence** at Wave C is the confirmation signal:

- **Wave A down:** MACD drops sharply; histogram deeply negative
- **Wave B up:** MACD recovers partially; histogram turns slightly positive
- **Wave C down:** Price makes new low below Wave A end — this is the **divergence trigger**
- MACD histogram makes a **higher low** compared to Wave A's low → **bullish divergence**
- **Entry:** First bullish candle after Wave C low, confirmed by MACD crossing above signal line

Setup	Wave Position	Divergence Type	Trade Direction
Wave 5 Top	End of 5-wave impulse	Bearish divergence	Short (sell)
Wave C Bottom	End of A-B-C correction	Bullish divergence	Long (buy)
Wave 2 Low	Pullback after Wave 1	Hidden bullish	Long (continuation)
Wave 4 Low	Pullback after Wave 3	Hidden bullish	Long (continuation)
Wave B High	Bounce in correction	Hidden bearish	Short (continuation)

✓ Chapter Summary

- Wave 3 = MACD histogram peak: if no MACD peak, the wave count may be wrong
- Wave 5 + bearish MACD divergence = highest-probability sell setup in this course
- Wave C bottom + bullish MACD divergence = highest-probability buy setup
- Hidden divergence at Wave 2/4 confirms trend continuation entries
- Always combine wave structure completion with a price action trigger

Module 6 — Entry, Exit & Risk Management

6.1 Entry Triggers & Confirmation

A divergence signal alone is **never enough** to enter a trade. You need a **trigger** — a price action event that confirms the reversal has begun. Waiting for confirmation dramatically improves your win rate.

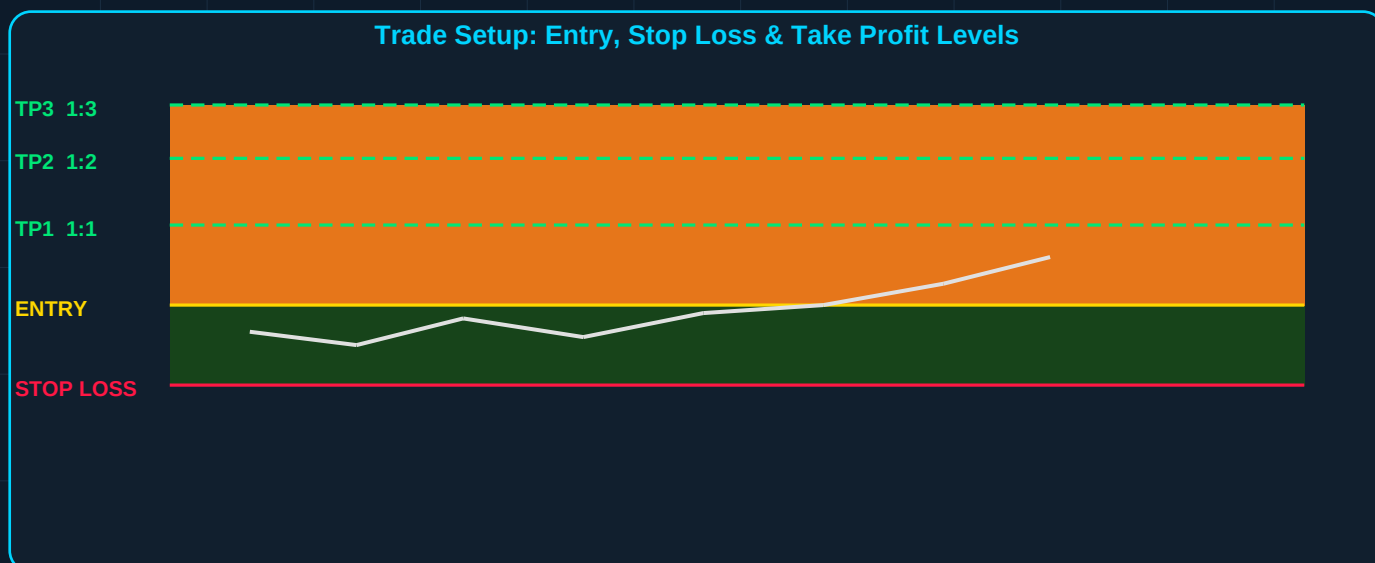
Trigger Type	Description	Strength
MACD cross above/below signal	MACD line crosses signal line	★★★
Bullish/Bearish engulfing	Candle engulfs prior candle's body	★★★★
Hammer / Shooting Star	Long wick reversal candle	★★★
Break of corrective trendline	Price breaks the correction channel	★★★★
Close above/below pivot	Candle closes past a key level	★★★★★
RSI/Stoch confirmation	Second oscillator also shows divergence	★★★★★

6.2 Stop Loss Placement

Stop loss placement must be **logical** — placed where the trade idea is **definitively wrong**, not where it merely hurts.

- **Wave 5 short:** Stop above the Wave 5 high (new all-time/swing high)
- **Wave C long:** Stop below the Wave C low (the divergence pivot)
- **Wave 2/4 long:** Stop below Wave 2 low / Wave 4 low — if this breaks, wave count is wrong
- **Minimum distance:** Stop must clear the divergence pivot by at least 1 ATR to avoid noise
- **Never move stop against position:** Only trail in your favor as trade develops

6.3 Take Profit & Target Levels



- **TP1 (1:1 R/R):** Closest swing high/low; partial profit + move stop to breakeven
- **TP2 (1:2 R/R):** Fibonacci extension or measured move target

- **TP3 (1:3+ R/R):** Full wave projection (e.g., 161.8% extension for Wave 3 target)
- **Scaling out:** Close 30–40% at TP1, 30–40% at TP2, trail remaining to TP3+

6.4 Position Sizing

Professional traders never risk more than **1–2% of account** on a single trade. The formula:

Formula Component	Value / Calculation
Risk per trade	Account size × Risk % (e.g., \$10,000 × 1% = \$100)
Risk per unit	Entry price – Stop loss price (in points/pips)
Position size	Risk per trade ÷ Risk per unit
Example	Risk \$100; SL = 50 pips; Size = 100 ÷ 50 = 2 mini lots (forex)

Golden Rule: If the stop is far (large R per unit), reduce size. If the stop is tight (small R per unit), you can increase size. **Risk amount stays constant; position size varies.**

Risk Management Principles

- Never risk more than 2% per trade — protect capital above all else
- Only take setups with minimum **1:2 R/R ratio** — ideally 1:3 or better
- After 3 consecutive losses, reduce size by 50% until back to breakeven
- Keep a trade journal — review every trade for wave count accuracy
- Divergence + wave alignment + trigger = full 3-condition checklist before entry

✓ Chapter Summary

- Never enter on divergence alone — always wait for a confirmed trigger
- Best triggers: price close beyond pivot, candlestick reversal, MACD line cross
- Stop loss goes where the trade idea is wrong — behind the divergence pivot
- Scale out profits: 1:1 → 1:2 → trail remainder to wave projection target
- Fixed-risk position sizing: never more than 1-2% of account per trade

Module 7 — Multi-Timeframe Analysis

7.1 Top-Down Wave Counting

The most reliable Elliott Wave analysis starts **top-down** — from the highest timeframe to the lowest. The higher timeframe defines the **dominant wave degree** and trend direction, while the lower timeframe provides the entry timing.

Step	Timeframe	Purpose	Wave Degree
1	Monthly / Weekly	Identify Grand Supercycle or Supercycle position	Grand Supercycle
2	Daily	Confirm Cycle/Primary wave position	Primary
3	4H / 1H	Intermediate wave structure & divergence zones	Intermediate
4	30m / 15m	Entry timing & trigger confirmation	Minor
5	5m	Fine-tune entry, stop, position size	Minute

Key principle: Only take trades **in the direction of the higher-timeframe wave**. If the daily chart is in a Wave 3 up, only look for long entries on the 4H/1H. Never fight the higher-timeframe wave.

7.2 Aligning MACD Across Timeframes

MACD divergence becomes **significantly more powerful** when it appears on multiple timeframes simultaneously.

- **Single-timeframe divergence:** Moderate signal — may be overridden by higher-TF momentum
- **Two-timeframe divergence:** Strong signal — high probability reversal
- **Three-timeframe divergence:** Very strong signal — often marks major market turning points

Scenario	TF1	TF2	Action
Wave 5 top (bearish)	Daily: bearish div	4H: bearish div	Strong sell setup
Wave C bottom (bullish)	Daily: bullish div	4H: bullish div	Strong buy setup
Wave 2 correction (hidden bull)	4H: hidden bull	1H: hidden bull	Buy the pullback
B-wave bounce (hidden bear)	Daily: hidden bear	4H: bearish div	Sell the bounce

Practical Multi-TF Workflow

- **Weekly chart:** Am I in an uptrend or downtrend at the macro level? What wave degree?
- **Daily chart:** Which specific wave is forming? Look for divergence signals
- **4H chart:** Confirm divergence; check wave sub-structure completion
- **1H chart:** Identify exact entry trigger; measure stop loss distance
- **Rule:** If higher-TF MACD is still trending strongly, reduce position size on counter-trend trades

Common Multi-TF Mistakes to Avoid

- **Mistake 1:** Trading lower-TF divergence against a strong higher-TF wave 3

- **Mistake 2:** Switching timeframes mid-trade to justify a losing position
- **Mistake 3:** Counting waves on a timeframe that is too low for the analysis (too much noise)
- **Mistake 4:** Ignoring that wave degree changes the meaning of divergence signals

✓ Chapter Summary

- Always work top-down: Weekly → Daily → 4H → 1H → Entry
- Only trade in the direction of the dominant higher-timeframe wave
- Multi-timeframe MACD divergence dramatically increases trade probability
- Three-timeframe divergence alignment often marks major turning points
- Never fight the higher-timeframe wave 3 — the trend is your friend

Module 8 — Trade Examples & Checklists

8.1 Bullish Setup Example — Wave C Bottom

The following step-by-step example illustrates a **Wave C bottom with bullish MACD divergence** setup:

Step	Action	Observation
1	Weekly chart analysis	Market in long-term uptrend (Cycle Wave III up); currently in Intermediate (II) correction
2	Daily chart — count correction	Wave A down complete; Wave B up complete; Wave C down underway
3	Daily MACD check	Wave C low: price below Wave A low; MACD histogram higher low → bullish divergence
4	4H chart — sub-wave count	Wave C shows 5 sub-waves complete; wave (v) = wave (i) in length
4H MACD	Confirm divergence on 4H	4H MACD also showing bullish divergence at same price level
5	Wait for trigger on 1H	1H chart: bullish engulfing candle above prior swing low; MACD crosses above zero
6	Entry	Enter long at close of trigger candle
7	Stop loss	Below Wave C low minus 1 ATR
8	Target calculation	TP1 = 38.2% retrace of full A-B-C; TP2 = 61.8% retrace; TP3 = Wave B high (if retraced)
9	Risk/Reward	Typical R/R = 1:2.5 to 1:4 on this setup

8.2 Bearish Setup Example — Wave 5 Top

This example shows a **Wave 5 top with bearish MACD divergence** — the signature reversal setup of this course:

Step	Action	Observation
1	Daily chart — full impulse count	5 waves up from major low clearly labeled 1-2-3-4-5
2	Wave 3 MACD check	Wave 3 high: MACD histogram at absolute peak for this move
3	Wave 4 correction	MACD pulls back; stays above zero; price holds above Wave 1 top → count valid
4	Wave 5 underway	New price high above Wave 3; price makes higher high
5	MACD divergence confirmed	MACD histogram at Wave 5 high is LOWER than Wave 3 high → bearish divergence
6	Structure check	Wave 5 = Wave 1 in length (Fibonacci equality); possible ending diagonal form
7	4H confirmation	4H chart: also shows bearish divergence; shooting star candle at resistance
8	Entry	Enter short after shooting star confirmation close
9	Stop loss	Above Wave 5 high + 0.5 ATR
10	Targets	TP1 = Wave 4 low; TP2 = Wave 2 low (full A-B-C correction expected)

8.3 Master Trading Checklist

Use this checklist before **every** trade. All checked boxes = higher-probability setup.

WAVE STRUCTURE

- ☐ Higher-timeframe wave direction identified (up or down)
- ☐ Current wave position clearly labeled (which wave am I in?)
- ☐ Wave count satisfies all three Elliott Wave rules
- ☐ Wave is at a logical completion zone (Fibonacci extension/retracement)
- ☐ No alternative wave count is significantly more likely

MACD DIVERGENCE

- ☐ Divergence type identified (regular / hidden)
- ☐ Divergence visible on at least two timeframes
- ☐ Trendlines drawn on both price pivots and MACD pivots
- ☐ Divergence aligns with expected wave completion point
- ☐ MACD histogram — not just MACD line — shows divergence

ENTRY TRIGGER

- ☐ Price action trigger present (engulfing, hammer, break of trendline)
- ☐ MACD signal line crossover confirms direction
- ☐ Entry candle has closed (not entering mid-candle)
- ☐ Volume spike or expansion supports the move (if data available)

RISK MANAGEMENT

- ☐ Stop loss placed at logical invalidation level
- ☐ Risk per trade $\leq 2\%$ of account capital
- ☐ Risk/Reward ratio $\geq 1:2$
- ☐ TP1, TP2, TP3 levels pre-calculated and set
- ☐ Position size calculated using fixed-risk formula

Appendix — Quick Reference Guide

Elliott Wave Rules — Absolute Laws

Rule	Requirement	If Broken
Wave 2 Rule	Wave 2 cannot retrace more than 100% of Wave 1	Recount from scratch
Wave 3 Rule	Wave 3 is never the shortest of Waves 1, 3, 5	Recount or re-label
Wave 4 Rule	Wave 4 cannot overlap Wave 1 territory	May be diagonal or wrong count

Elliott Wave Guidelines — Strong Tendencies

Guideline	Typical Behavior
Wave 2 depth	Retraces 50%–61.8% of Wave 1
Wave 3 length	161.8% of Wave 1 (most common extension)
Wave 4 depth	Retraces 38.2% of Wave 3
Wave 5 length	Equal to Wave 1, or 61.8% of Waves 1+3
Alternation	If Wave 2 is simple, Wave 4 is complex (and vice versa)
Wave B retracement	50%–78.6% of Wave A
Wave C length	100% or 161.8% of Wave A
Channel guideline	Waves 2 and 4 connect via a parallel channel

MACD Settings Reference

Market Type	Fast	Slow	Signal	Notes
Standard (default)	12	26	9	Best for daily stocks/FX
Crypto scalping	8	17	9	Fast markets, short TF
Forex scalping M5	5	13	5	Very fast; more signals
Swing trading	12	26	9	Daily/4H standard
Position trading	24	52	18	Weekly charts

Divergence Quick Reference

Type	Price	MACD	Signal	Wave Context
Regular Bullish	Lower Low	Higher Low	Buy reversal	Wave C bottom
Regular Bearish	Higher High	Lower High	Sell reversal	Wave 5 top

Hidden Bullish	Higher Low	Lower Low	Buy continuation	Wave 2/4 pullback
Hidden Bearish	Lower High	Higher High	Sell continuation	Wave B bounce

Risk Management Quick Reference

Parameter	Rule
Max risk per trade	1–2% of total account capital
Minimum R/R ratio	1:2 (take profit = 2× stop loss distance)
Ideal R/R ratio	1:3 or better
Stop loss location	Behind divergence pivot + 0.5–1 ATR buffer
Scaling out	30% at 1:1, 40% at 1:2, trail 30% to target
Loss streak rule	After 3 losses, halve position size temporarily
Position size formula	Size = (Account × Risk%) ÷ (Entry – Stop in \$)

High-Probability Setup Matrix

Setup Name	Wave	MACD	R/R	Win Rate Est.
Wave 5 Bearish Reversal	5 top	Bearish reg. div	1:3+	60–70%
Wave C Bullish Reversal	C bottom	Bullish reg. div	1:3+	60–70%
Wave 2 Hidden Bull Continuation	2 low	Hidden bull div	1:2–1:4	65–75%
Wave 4 Hidden Bull Continuation	4 low	Hidden bull div	1:2–1:3	60–65%
Ending Diagonal + Bearish Div	5 (diag.)	Bearish reg. div	1:4+	70–80%
Multi-TF Divergence Confirmation	Any	2–3 TF aligned	1:3+	70–80%

Recommended Study Path

- **Week 1–2:** Master Module 1 & 2 — practice counting waves on historical charts
- **Week 3:** Study Module 3 — learn to read MACD momentum; identify histogram peaks
- **Week 4:** Study Module 4 — find and draw at least 20 divergences on past charts
- **Week 5–6:** Study Module 5 — combine wave counts + MACD; paper trade setups
- **Week 7:** Study Modules 6 & 7 — apply multi-TF analysis to paper trading
- **Week 8+:** Apply Module 8 checklist to every live paper trade; review journal weekly

Final advice: The best traders are not those who find every setup — they are those who wait for setups where **waves + divergence + trigger + R/R** all align perfectly. Patience is your most valuable tool.